PAYTM UPI GROWTH CHALLENGE · TRACK B · ROUND 2 FINAL SUBMISSION

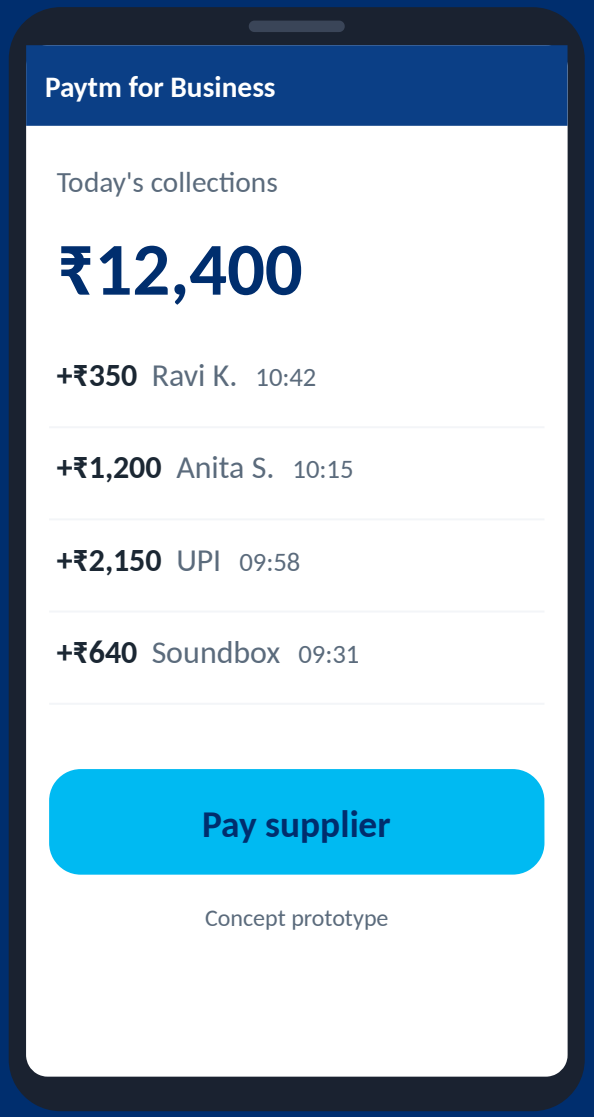
Settle & Pay:

making Paytm the place merchants spend the money they see arrive

Growing Paytm usage among merchants as UPI payers

Team Paytitude

9 October 2026



EXECUTIVE SUMMARY

Paytm can win merchants' supplier payments by letting them spend collections where they already see them; a 90-day pilot will prove it before scale

PROBLEM & INSIGHT	**1.57 crore merchants collect on Paytm devices, but pay suppliers on PhonePe or Google Pay.** Merchants won't switch apps for parity. They switch when a step disappears: waiting for settlement, or moving money between accounts.	FACT, SYNTHETIC
SOLUTION	**Settle & Pay** on the Paytm for Business collections screen: settle today's collections into the merchant's own account (no PIN), then pay the supplier by UPI (one PIN). Free when it funds a supplier payment. No credit, no cashback.	CONCEPT PROTOTYPE
VALIDATION	**≥20-user prototype walkthrough with commitment asks: [results pending, n = __]**. Evidence so far is a 50-row synthetic dataset (hypothesis only): high-potential group 16 of 50, 7 yes / 9 maybe / 0 no.	TO VALIDATE, SYNTHETIC
IMPACT & ASK	**Base case +1.6 pts Paytm share of segment vendor-UPI value in year one** (+3.9 pts among exposed merchants); ₹2,660 crore annual run-rate (range ₹240–19,400 crore); ≈₹3,200 per extra active merchant. **Ask: approve a 90-day randomised pilot, 3,000 vs 3,000 merchants.**	PROJECTION

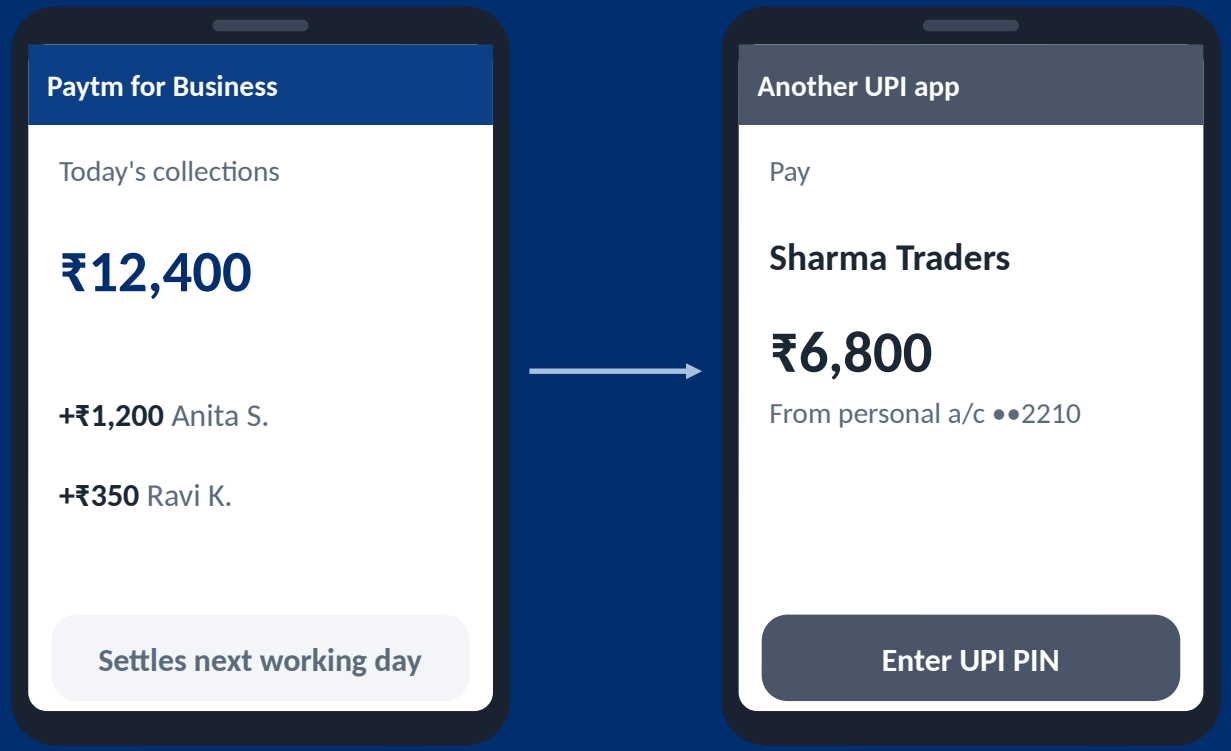
WHAT CHANGED SINCE ROUND 1 Same track and merchant base, re-cut by settlement behaviour · Supplier Pay → Settle & Pay · Dropped partner credit, supplier ledger, MDR framing and the ₹27,000 crore estimate · 500-merchant Andheri pilot → 90-day randomised pilot with scale and stop gates · Detail: annexure A7

Evidence status: FACT (CITED) · SYNTHETIC HYPOTHESIS · PROJECTION, NOT FORECAST · TO VALIDATE · VALIDATED (n = __) · MAGENTA = AWAITING DATA

Sources: Paytm Q1 FY27 release (S1); NPCI app-wise data, Aug 2026 (S2); synthetic VOC workbook (S16); model in annexure workbook (Funnel_Model, Share_Metric, Unit_Costs). Full source list: annexure A1 and 'Sources' sheet.

THE PROBLEM

Paytm owns the moment merchants' money arrives, and hands the moment they spend it to another app



MONEY IN · PAYTM

MONEY OUT · PHONEPE OR GOOGLE PAY

1.57 crore merchants pay for Paytm payment devices (Q1 FY27) — FACT

8.0% Paytm's share of UPI volume, vs PhonePe 45.6% and Google Pay 32.3% (NPCI, Aug 2026) — FACT

Collect only Paytm for Business lists collections, settlements, statements and loans; no supplier payments (app listing) — FACT

0 of 50 synthetic merchants use Paytm as their main business-payment app; 29 use PhonePe, 15 Google Pay — SYNTHETIC

Same merchant. Same money. Different app.

Sources: S1 Paytm Q1 FY27 release; S2 NPCI app-wise volume share, Aug 2026 (secondary report; confirm on npci.org.in); S3 Paytm for Business app listing; S16 synthetic VOC dataset. Screens are illustrative.

The habit Paytm wants already exists. Merchants won't switch for a better button, only when a step disappears

APP SWITCHING, NOT UPI ADOPTION

UPI adoption

Teach merchants to pay by UPI

Get suppliers to accept UPI

Move payments off cash and NEFT

Not the problem

App switching

41 of 50 already pay vendors by UPI at least 2–3 times a week

The merchant, not the supplier, picks the app: any UPI app pays any QR

Habit to beat: PhonePe 29, Google Pay 15 of 50

The problem

SYNTHETIC

Paytm collectors pay suppliers on another app

WHAT KEEPS THEM WHERE THEY ARE

- Same steps on every app (parity)
- Habit and staff familiarity
- Supplier's QR on WhatsApp opens in the current app

STEPS PAYTM CAN REMOVE

- **Waiting for collections to settle before paying**
- **Moving money from the settlement account to the paying account**

"Same steps hain toh app kyun badlu?"
If the steps are the same, why change apps?

"Subah supplier ko paisa chahiye, collection baad mein settle hota hai."
The supplier wants money in the morning; collections settle later.

Synthetic-dataset verbatims: illustrations only, never counted as evidence

Remove a step, and merchants have a reason to switch. Match a step, and they don't.

Source: S16 synthetic VOC dataset (counts of 50 rows; illustrative, not market prevalence). Quotes are dataset responses, not interviewed merchants.

Paying a supplier from today's sales takes up to four steps across two apps

1 Paytm for Business

Check collections

Open Paytm for Business: ₹12,400 collected today.

2 Paytm for Business

Settle or wait

Trigger manual instant settlement, if the merchant knows it exists, or wait for T+1.

3 Other UPI app

Transfer, if accounts differ

Move money from the settlement current account to the account the UPI app pays from.

4 Other UPI app

Switch app and pay

Open PhonePe or Google Pay, scan the supplier's QR, enter the UPI PIN.

4

steps · 2 apps

PAYTM'S OWN SETTLEMENT TIMING — FACT

"Usually settled to your bank within T+1 days" (Paytm for Business support)

"Within a few business hours or at the T+N cycle" (Paytm Payments docs)

Manual instant settlement exists, but the merchant still pays from another app.

COMPETITOR EARLY SETTLEMENT STOPS AT STEP 2 — FACT

PhonePe 'Settle Now': ₹1–3 a request, once an hour, not after 11 pm, for selected merchants only.

Then the merchant still opens another screen to pay the supplier. Nobody joins settlement and payment.

Sources: S4 Paytm for Business support (settlement timing); S5 Paytm Payments docs; S3 app listing (manual instant settlement); S6, S7 PhonePe merchant help (Settle Now). Amounts illustrative.

TARGET SEGMENT

Start with merchants whose money arrives late or lands elsewhere; Paytm can find them in its own data

Friction stated

No friction

SAME DAY + FRICTION

9

4 yes · 3 maybe · 2 no

7 of 9 rows contradictory: same-day yet 'waiting for settlement'

NEXT DAY / SEPARATE + FRICTION

16 · Group 1

7 yes · 9 maybe · 0 no

No 'no' at all: the target quadrant

TARGET

SAME DAY + NO FRICTION

8

0 yes · 2 maybe · 6 no

“Mera settlement same day aa jata hai, toh problem kya hai?”

NEXT DAY / SEPARATE + NO FRICTION

7

0 yes · 5 maybe · 2 no

All 7: 'would try it, but keep my current app'

Same-day settlement | **Next day, or into a separate account**

SETTLEMENT PROFILE OF PAYTM COLLECTIONS → SYNTHETIC

SEGMENT RULES (ALL FIVE)

1 Collects on a Paytm QR or Soundbox
2 Settles next day, or into a separate current account
3 Pays vendors by UPI at least weekly
4 Owner or manager chooses the app
5 States a timing, transfer or staff-control friction

WOULD SWITCH: YES / MAYBE / NO

SYNTHETIC



HOW PAYTM FINDS THEM: INTERNAL DATA REQUEST

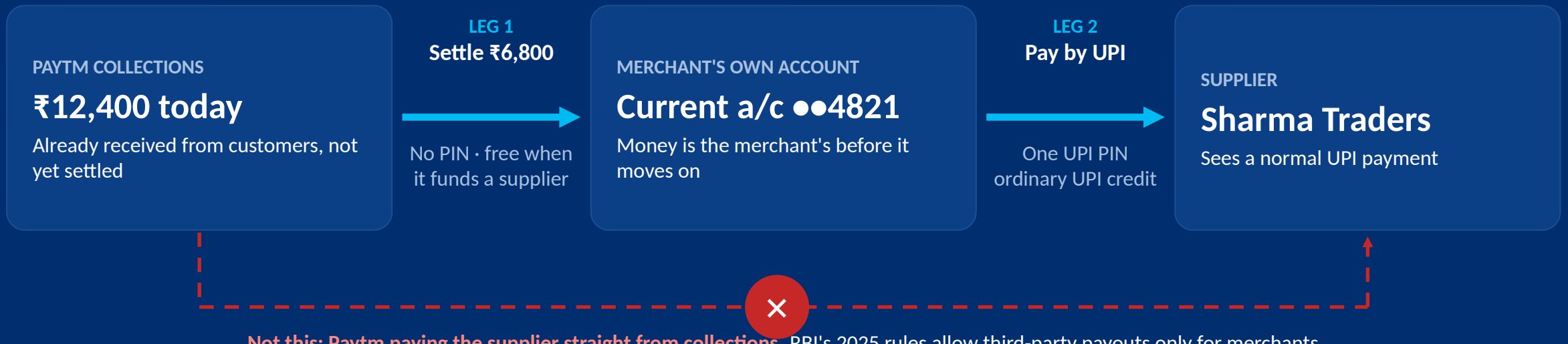
TO VALIDATE

Settlement cycle and destination account per device merchant; share already using manual instant settlement; outgoing UPI pattern where visible

Source: S16 synthetic VOC dataset, 40 of 42 regular Paytm collectors (2 accountant-led excluded); counts per quadrant computed in annexure workbook 'Segment_Rules'. Illustrates the hypothesis, not market prevalence.

THE SOLUTION

Settle & Pay turns today's collections into a supplier payment in one flow built to fit RBI's payout rules, with no loan



Not this: Paytm paying the supplier straight from collections. RBI's 2025 rules allow third-party payouts only for merchants above ₹40 lakh turnover, and only to the customer-facing payee.

Free when it funds a supplier payment

Settles only collections already received: designed to avoid pre-funding; compliance confirmation pending

No credit · no cashback · personal UPI untouched

RBI (Regulation of Payment Aggregators) Directions, 15 Sep 2025 (S9). Payout restriction per legal summaries (S10, S11); primary RBI text to be confirmed. Compliance confirmation of free conditional settlement pending. Amounts illustrative.

Four steps across two apps become one flow and one PIN

BEFORE
4 steps
2 apps · a wait

1. Check collections
2. Settle or wait
3. Transfer, if accounts differ
4. Switch app and pay

AFTER
1 flow
1 app · 1 PIN

1. **Tap 'Pay supplier'**
   on the collections screen the merchant already has open
2. **Pick or scan the supplier**
   payee name check, then 'Settle & Pay from today's collections · free'
3. **Enter one UPI PIN**
   settlement lands in the merchant's own account, then the supplier is paid

APPS
2 → **1**

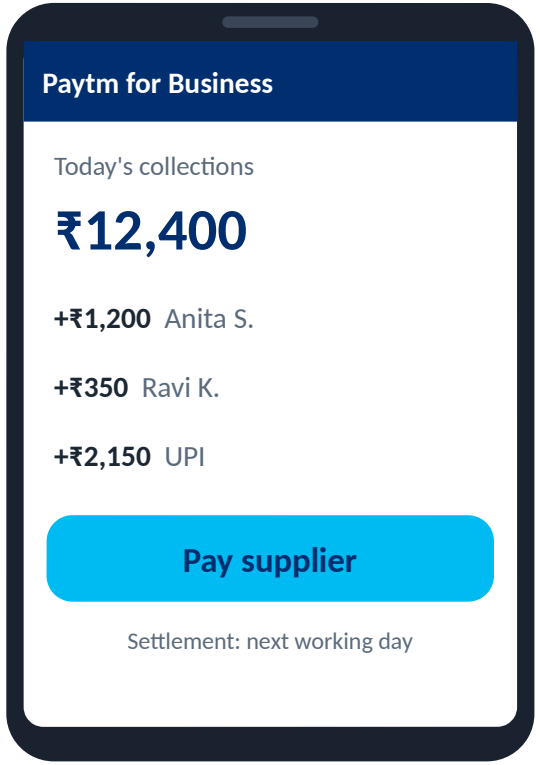
STEPS
4 → **1 flow, 3 taps**

WAIT FOR SETTLEMENT
TO VALIDATE
up to T+1 → **seconds to minutes**

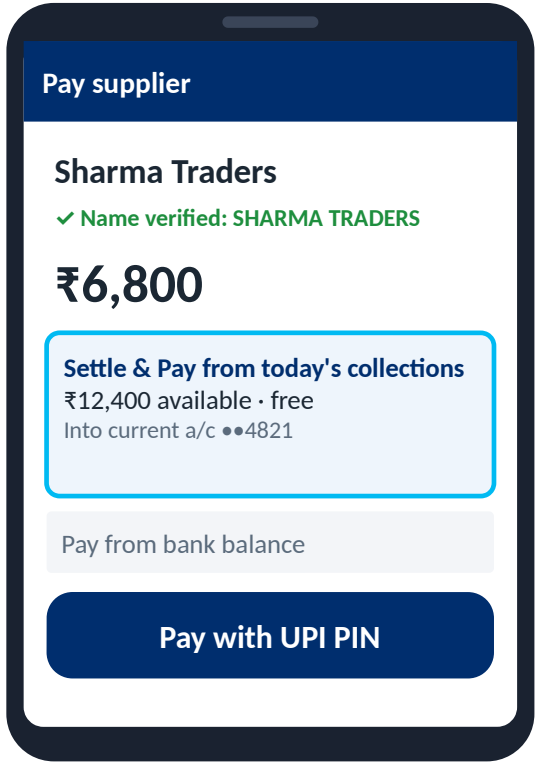
Before: slide 4 journey. After: concept flow (light pilot build hands off to the Paytm UPI app with the supplier prefilled; the full in-app flow follows the scale gate). Settlement-to-credit time by bank is to be validated.

The merchant never leaves the screen where the money arrives

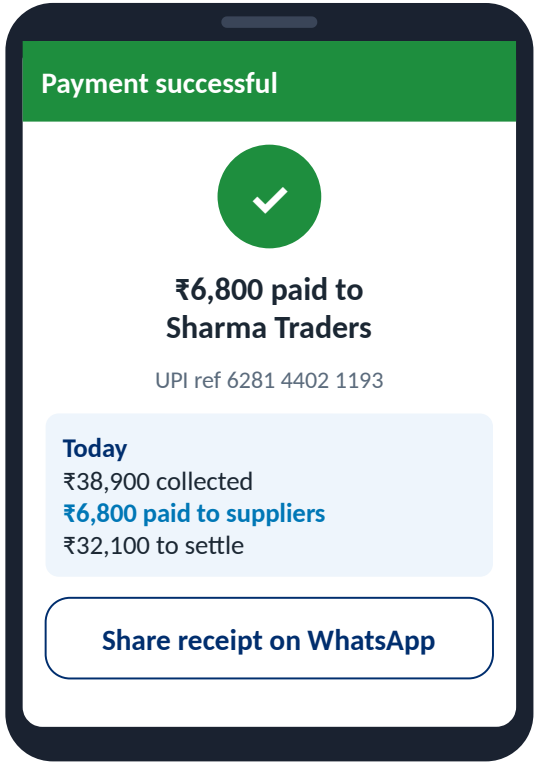
One flow, three screens: collections → funding choice → confirmation, plus a next-morning prompt



1 · Pay supplier sits where the money arrives

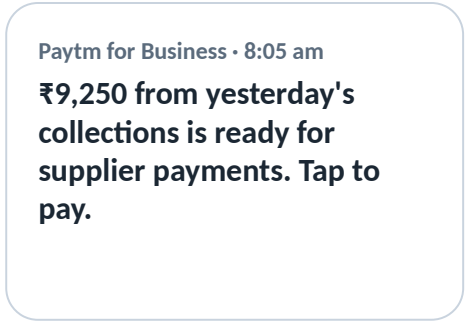


2 · Funding choice, with payee name check



3 · Confirmation with a settlement summary

CONCEPT PROTOTYPE



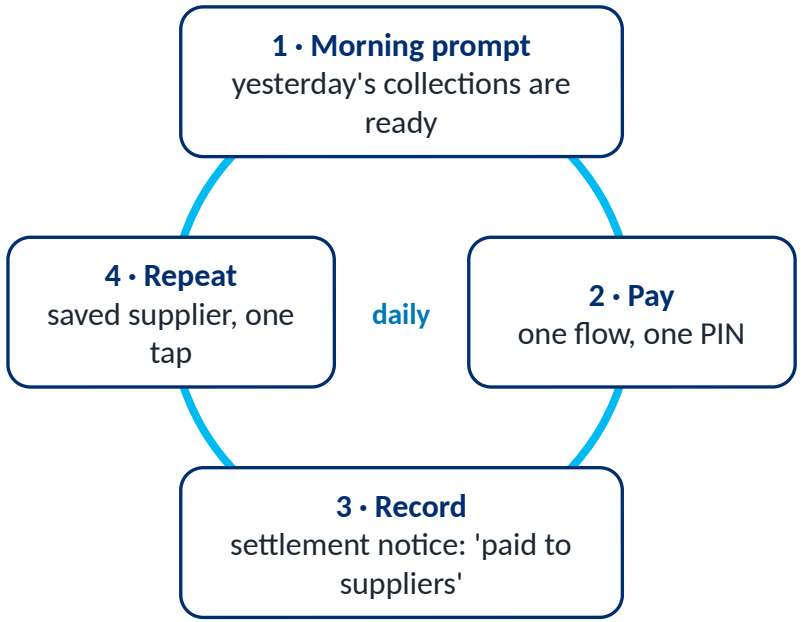
4 · Next morning: the prompt that restarts the habit

Concept prototype drawn for this submission: fictional names, amounts and account numbers; not Paytm's live interface. Payee name check, QR scan and notifications reuse existing Paytm capabilities.

No cashback needed: merchants switch because a step disappears, and stay because the trigger repeats daily

Capability	Differentiated?	Who can copy it
Early settlement on its own	No	Already offered by Paytm and by PhonePe (₹1–3 a request)
Settlement + supplier payment in one flow, free when it funds a supplier	**Yes, today**	PhonePe, within months, but only for merchants whose collections it handles
Paying from the settlement current account	No	Any UPI app, once the account is linked
Saved suppliers, name check, history	No	Every major app has them: must-haves, not the pitch

DAILY HABIT LOOP · NO REWARD NEEDED



Competitor response: PhonePe can copy the flow for merchants whose collections it handles, not for Paytm's. The contest then becomes who handles the merchant's collections, which is Paytm's core business. A head start of months, not a permanent moat: start the pilot as soon as compliance clears it.

Sources: S3, S6, S7 (existing early settlement at Paytm and PhonePe); S14 (UPI on current accounts). Switching and staying are design hypotheses, tested by the pilot's activation, repeat and habit-guard metrics.

[Assertion from the ≥20-user test, e.g. '__ of __ target merchants completed the Settle & Pay task unaided; __% committed to move a named supplier payment']

METHOD

Prototype walkthrough | **Concept test on last 5 vendor payments** | **Commitment asks**

n = [__] target merchants (≥20)

Recruited: owner or app-chooser · collects on Paytm · pays vendors by UPI weekly · settlement profile recorded · every answer marked observed or stated

OBSERVED

[__%]

completed the prototype task unaided

COMMITMENT

[__%]

named a specific supplier payment they would move

COMMITMENT

[__%]

agreed to a follow-up trial in 7 days

ACTION

[__%]

enabled instant settlement in the session

CONTEXT

Used instant settlement in the last month: **[__%]**

Settlement: **[__ same day / __ next day / __ separate account]**

Top objections: **[Trust __ · Habit __ · Supplier __ · Staff __]**

LIMITS OF THIS EVIDENCE

Small, non-random sample from our own networks

Concept prototype: no live money movement

Stated answers marked; only observed actions count as 'did'

SEPARATE FROM THE ≥20-USER TEST (CONTEXT ONLY)

50-row VOC dataset: synthetic, for hypothesis stress-testing only, not field research. **Exploratory merchant conversations:** genuine, exploratory, **n = [__]** (pharmacy, café, FMCG retailer, tractor dealer, a routine vendor-UPI payer).

Method and recruitment per annexure A8; results recompute from the 'Validation_Log' sheet via fill_validation.py. Secondary sources: S3–S7 (settlement), S9–S11 (regulation). Magenta = to be filled from real results; nothing on this slide is invented.

Every leg exists today; the work is joining them, rated small to large, with four open dependencies

Component	Exists today in Paytm	New build	Open dependency	Effort	Owner
Collections screen	Paytm for Business collections and alerts	'Pay supplier' button and prompt	—	**S**	Merchant app
Early settlement	Manual instant settlement in the app	Settle the exact amount; waive the fee when it funds a supplier	◆ **Compliance: conditional free pricing; received funds only**	**S**	Settlement, compliance
Supplier payment	UPI payer flow, name check, QR scan in Paytm UPI app	Pilot: hand-off, payee prefilled. Scale: payer flow inside Paytm for Business	◆ **Banks: UPI on settlement current accounts**	**S → M/L**	Payments eng.
One-PIN sequencing	Settlement needs no UPI PIN	Wait for the settlement credit, then pay	◆ **Settlement-to-credit time by bank**	**M**	Payments eng.
Eligible list	Settlement cycle and account data	Extraction; territory randomisation	◆ **Instant settlement live for all device merchants?**	**S**	Data, field ops
Habit loop	Push notifications, settlement notices	Morning prompt; 'paid to suppliers' line	—	**S**	Growth
Staff access (arm B)	—	Per-person limits, owner visibility	NPCI delegated-payment limits	**M**	Product

Pilot build: S (weeks) · Scale build: M–L, the full in-app payer flow, only after the scale gate · ◆ = one of four open dependencies

Sources: S3 app listing (instant settlement; no payer feature); S13 instant settlement since 2018; S14 UPI on current accounts; S10, S11 RBI payout rule. Effort: S = weeks, M = 1–3 months, L = 3+ months (team estimate). Owners are proposed functions.

Paytm can reach, activate and retain this segment through channels it already controls

SEGMENT Group 1 merchants found in Paytm settlement data: next-day or separate-account settlement, weekly vendor UPI, a stated friction. Start in two cities with dense Soundbox coverage.

	CHANNEL AND PARTNER	MESSAGE	METRIC (HYPOTHESIS)
ACQUIRE	Soundbox field force visits a list built from settlement data; banner on the collections screen	***"Aaj ki collection se aaj ka supplier, bina charge."*** Today's collections, today's supplier, no charge	**Exposure: 40% of eligible in year one**
ACTIVATE	First payment made together during the visit; prompt at the moment of payment	***"Personal UPI wahi rahega."*** Your personal UPI stays as it is	**First Settle & Pay payment within 30 days: 15–25%**
RETAIN	Morning push on yesterday's collections; settlement notice; WhatsApp receipt	***"₹9,250 kal ki collection se supplier ke liye ready."*** Yesterday's collections are ready for suppliers	**2+ payments in months 2 and 3: 50%; habit guard ≥30%**

PARTNERS AND RULES Settlement banks for UPI on current accounts now; billing software (Petpooja, Marg, Vyapar, Tally) as later channels. Field incentives paid on repeat use, not sign-ups. No cashback in any message.

Targets are hypotheses from the model (annexure A5) and will be replaced by pilot results. Messages are draft Hinglish lines; comparative claims need brand and legal approval.

A 90-day randomised pilot will tell Paytm whether to scale, fix or stop

DAYS 0–14	DAYS 15–30	DAYS 31–60	DAYS 61–90
Set up	Live + field visits	Habit: visits end, repeat measured	Durability: optional price-reversion sub-arm

Days 0–14: pull settlement data, build the eligible list, randomise by field-agent territory, pull a 60-day baseline, recruit the AA panel, ship the light build (prompt, fee waiver, hand-off to Paytm UPI).

Eligible list, two cities: next-day or separate-account settlement

↓

Randomise by field-agent territory

Treatment ≈3,000
Arm A: Settle & Pay, light build
Arm B: + staff access, multi-payer shops

Control ≈3,000
No prompt, no fee waiver
Same baseline and metrics

Main metric: ITT change in Paytm share of business UPI value, treatment vs control; target +4 to +6 pts. **Baseline:** 60-day pre-period; AA panel ≈300 per arm.

DECISION GATES AT DAY 90

SCALE	**Activation ≥15%, repeat ≥40% and a significant ITT share lift** → Full in-app payer flow (M/L) → all eligible merchants via settlement data → Soundbox waves by city → bank partners
REVISE	**Activation fine, habit guard <15% (gap-only use)** → Reposition on one flow and staff access; strengthen the morning prompt; re-test
STOP	**Activation <8%** → Stop; keep the settlement-awareness learning

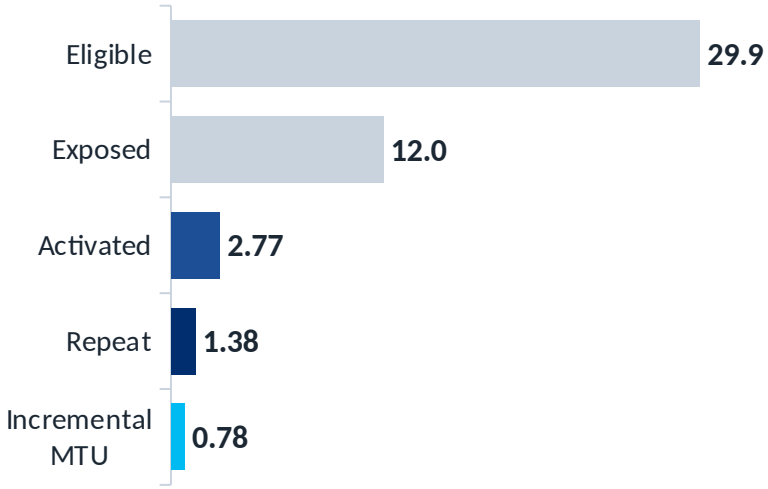
Safety commitment: wrong-payee payments near zero.

Full design: annexure A4 and workbook 'Pilot_Design'. Targets are hypotheses; gates are decision rules. AA = Account Aggregator consented bank-statement panel. ITT = intention to treat.

BUSINESS IMPACT

Base case (projection): +1.6 points of Paytm share of segment vendor UPI in year one, ≈₹2,660 crore a year, at ≈₹3,200 per extra active merchant

BASE-CASE FUNNEL, MERCHANTS (LAKH) PROJECTION



MAIN METRIC

+1.6 pts

Paytm share of segment vendor-UPI value, end of year one (+3.9 pts across exposed merchants)

OPPORTUNITY

₹2,660 crore

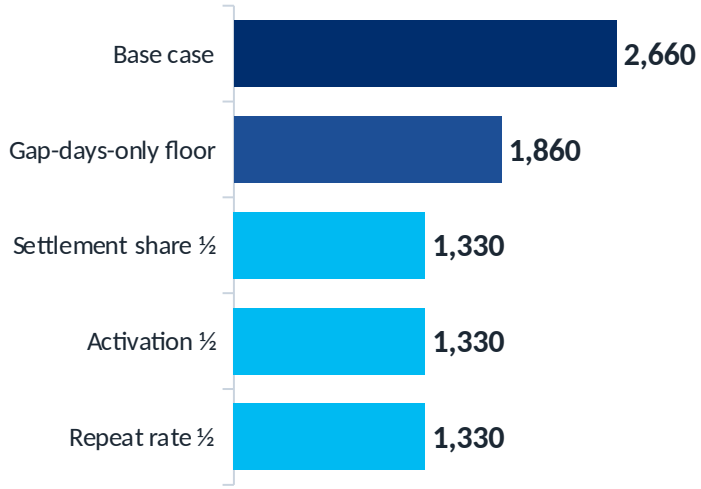
annual run-rate; range ₹240–19,400 crore, from a ₹1.7 lakh crore-a-year addressable pool

UNIT COST

₹3,200

per incremental MTU (₹3,900 with build); ₹0.009 per ₹ of GMV (₹0.011 with build)

SENSITIVITY: ANNUAL RUN-RATE, ₹ CRORE



EARLY INDICATORS (PILOT TARGETS)

Activation 15–25% · repeat 50% · 6–8 payments a month · habit guard ≥30% · ≈65 MTU per 1,000 exposed

Each halving halves every output; the floor assumes only gap-day payments move (habit guard 30%).

HOLDS WITHOUT INCENTIVES? No cashback: free settlement is permanent pricing, not a promotion. The pilot tests (a) repeat after field visits end, days 31–90; (b) the habit-guard share; (c) an optional price-reversion sub-arm, days 61–90.

Projection, not forecast: annexure workbook Funnel_Model, Share_Metric, Unit_Costs, Sensitivity. Cost per ₹ = year-one cost ÷ annual run-rate GMV; with a 50% year-one ramp it is ≈₹0.023. Pool = addressable vendor UPI, not incremental Paytm GMV.

RISKS AND DECISION

Approve the 90-day pilot; scale only on the gates. Competitors can copy the feature, but not for Paytm's merchants

TOP RISKS AND HOW WE REDUCE THEM

Segment smaller than the proxy	Size it from settlement data in days 0–14; shrink the target or lead with staff access
Habit wins even without the step	Morning prompt; habit-guard metric; 'revise' gate below 15%
PhonePe copies, or makes Settle Now free	Only for its own merchants; move first and lock in the habit
Compliance reads free settlement differently	Settle received funds only; confirm before launch; fallback: priced settlement + hand-off

ROADMAP AND GATES



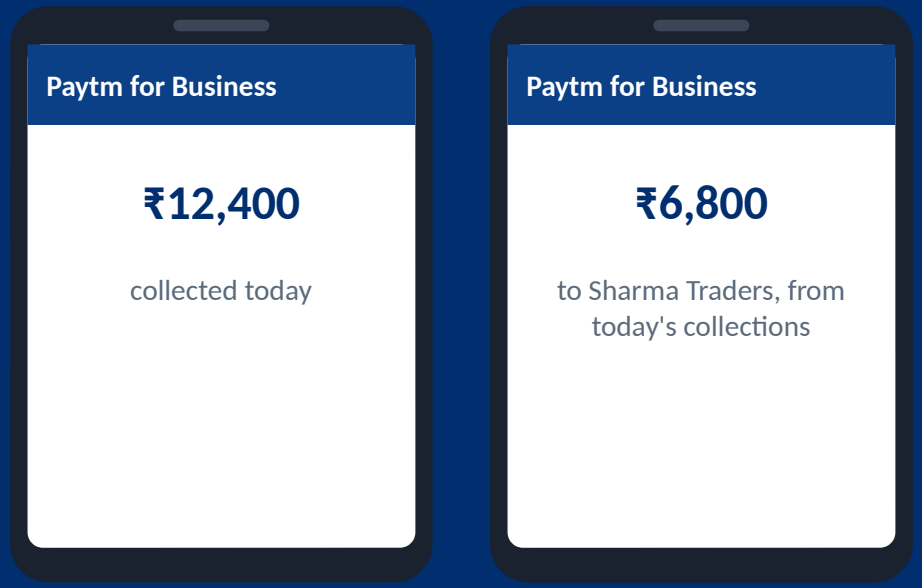
Weeks 0–2
Data + compliance check

Days 0–90
Pilot, 3,000 vs 3,000

Months 4–12
Full payer flow, city waves

Owners: data team · compliance · merchant product · field ops

THE SAME MERCHANT, AFTER



MONEY IN · PAYTM

MONEY OUT · PAYTM

Same merchant. Same money. Same app.

The ask: approve the 90-day pilot, 3,000 vs 3,000 merchants in two cities

Full registers: annexure A6. Gate thresholds: workbook 'Pilot_Design'. Owners are proposed functions, not confirmed people. Screens illustrative.

NOT PART OF THE 15-SLIDE DECK

Annexures

- **A1** Evidence status and methodology
- **A2** Full VOC and segment tables
- **A3** Full prototype flow and edge cases
- **A4** Pilot measurement methodology and metric definitions
- **A5** Financial model and unit-cost detail
- **A6** Dependency and risk registers
- **A7** Round 1 to Round 2 change log
- **A8** Validation interview guide

Companion workbook: Paytitude_R2_Annexure.xlsx (live formulas; Validation_Log ready for the ≥20-user results)

Evidence status: what is fact, what is synthetic, what is still to be validated

SYNTHETIC DATASET (50 ROWS)

"This is synthetic research for hypothesis stress-testing, not customer evidence."

16 cities (Mumbai 12); 47 of 50 'small'; no category above 5 rows

Audit: 11 hard contradictions (V10, V11, V12, V17, V19, V23, V34, V35, V36, V40, V42); none in Group 1; clean sample n = 39

15 distinct first quotes across 50 rows: quotes illustrate, never count

Used for: segment logic and model proxies only

SYNTHETIC

EXPLORATORY CONVERSATIONS

n = [__] genuine, exploratory conversations

Pharmacy, café, FMCG retailer, tractor dealer, and a merchant who routinely pays vendors by UPI

Notes and verbatims to be added to workbook 'VOC_Real'

Not validation: too few and not structured for the ≥20-user test

GENUINE · EXPLORATORY

SECONDARY SOURCES

Paytm Q1 FY27 release: 1.57 crore device merchants (S1)

NPCI app-wise share, Aug 2026, via secondary report (S2)

Paytm for Business listing and support pages (S3–S5)

PhonePe Settle Now help pages (S6–S8)

RBI PA Directions 2025 press release and legal summaries (S9–S12)

FACT

VALIDATION (≥20 TARGET USERS): not yet run at the time of this build. Interview guide in A8; 'Validation_Log' sheet and fill_validation.py recompute slide 10 and re-export the PDF.

Full source list with URLs and verification status: workbook 'Sources'. Disclosure quoted verbatim from Paytm_Track_B_VOCs.xlsx, 'Methodology Notes'.

Full VOC and segment tables (synthetic dataset)

Group	Inclusion rule	Merchants	Yes / maybe / no
1 · High potential	Paytm collector; next-day or separate-account settlement; vendor UPI ≥ weekly; owner or manager chooses; stated friction	16	7 / 9 / 0
2 · May try	Paytm collector not in 1 or 3: next-day with no friction (7) or same-day with friction (9, of which 7 contradictory)	16	4 / 8 / 4
3 · Little value	No or partial Paytm collection (8); accountant chooses (2); same-day, no friction (8)	18	1 / 4 / 13

Settlement (42 Paytm collectors)	Merchants	Yes / maybe / no
Same day	19	4 / 6 / 9
Next day	17	4 / 11 / 2
Next day, separate current account	6	3 / 3 / 0

Reaction to the concept (grouped)	All 50	Clean 39	Yes / maybe / no	Status
Would pay suppliers from today's collections, or avoid moving money between accounts	16	10	9 / 7 / 0	Synthetic
Values staff access with limits and owner visibility more than the app	9	9	2 / 5 / 2	Synthetic
Would try it but keep their current app	8	8	0 / 6 / 2	Synthetic
Rejects: same-day settlement, invoice-led payments, or no Paytm collections	11	9	0 / 0 / 11	Synthetic

Source: S16, computed live in workbook 'Segment_Rules' (COUNTIFS over 'VOC_Synthetic'). SYNTHETIC: illustrates the hypothesis; counts are not market shares.

Full prototype flow, including the three edge cases

1
Collections screen: tap 'Pay supplier'

2
Scan WhatsApp QR or pick saved supplier

3
Name check shown before any money moves

4
Choose 'Settle & Pay · free' (or bank balance)

5
One UPI PIN; pay only after settlement credit is confirmed

6
Receipt + settlement summary; WhatsApp share

EDGE CASE 1

Settlement delay

Credit not confirmed within the timeout

- Supplier is never debited before the credit lands
- Screen: 'Waiting for ₹6,800 to reach ••4821'
- Options: wait, pay from bank balance, or cancel
- Settlement still completes; nothing is lost

EDGE CASE 2

Insufficient collections

Supplier amount > collections available

- Show '₹4,100 available from today's collections'
- Offer: settle ₹4,100 + pay the rest from bank balance
- No credit, no overdraft, no pre-funding
- Log frequency: if common, revisit credit after the pilot

EDGE CASE 3

Wrong payee

Name doesn't match or QR looks altered

- Verified account name shown before the PIN
- Mismatch warning against the saved supplier
- First payment to a new payee needs an extra confirm
- After payment: UPI dispute flow and support; track per 1,000

Concept prototype; fictional names and amounts. Settlement-to-credit timeout and limits are to be set with payments engineering and partner banks.

Pilot measurement: design, definitions and how the result is read

Metric	Definition	Source	Target
Main: share lift (ITT)	Paytm share of total outgoing business UPI value, treatment minus control, change vs 60-day baseline (difference-in-differences), all assigned merchants	AA panel ≈300/arm	+4 to +6 pts
Incremental MTU	≥1 Settle & Pay payment in a month and no outgoing Paytm business payment in the baseline, net of the control group's rate	Paytm data	≈65 per 1,000
Activation	Exposed eligible merchants making a first Settle & Pay payment within 30 days	Paytm data	15–25%
Repeat	Activated merchants with 2+ Settle & Pay payments in each of months 2 and 3	Paytm data	50% (gate 40%)
Habit guard	Share of Settle & Pay payments made when no settlement or transfer gap existed	Paytm data	≥30% (revise <15%)
Durability	Repeat in days 31–90 after visits end; price-reversion sub-arm usage, days 61–90	Paytm data	Measured
Safety	Wrong-payee payments and support complaints per 1,000 payments	Support logs	Near zero

TO VALIDATE

Reading the result: randomise by field-agent territory to avoid spill-over; analyse intention to treat; report by settlement profile and single- vs multi-payer shops. Indicatively, 300 per arm detects a 4–6 pt share difference at 80% power if per-merchant share SD is 17–25 pts, before design effect.

Power: indicative only; to be recomputed from baseline variance and the territory design effect before launch. Definitions as in the solution document, section 10.4.

Financial model and unit-cost detail (projection, not forecast)

Stage (run-rate, end of year one)	Cautious	Base	Upside
Eligible merchants	20.9 L	29.9 L	35.9 L
Exposed	5.2 L	12.0 L	19.7 L
Activation rate	13.8%	23.1%	37.5%
Activated	0.72 L	2.77 L	7.40 L
Repeat merchants	25,000	1.38 L	4.81 L
Incremental MTU	14,000	78,000	2.71 L
Extra payments a month	1.2 L	10.4 L	54.4 L
Incremental GMV a month	₹20 cr	₹222 cr	₹1,620 cr
Annual run-rate	₹240 cr	₹2,660 cr	₹19,400 cr
Share lift, whole segment	+0.3 pts	+1.6 pts	+6.8 pts

Unit cost (base)	Value
Visit cost per exposed merchant	₹200 (₹150–300)
Free settlement per payment (ceiling)	₹0.75
Pilot build / full payer flow	₹0.5 cr / ₹5 cr
Cost per incremental MTU	₹3,200 / ₹3,900*
Visit-cost range per MTU	₹2,400–4,700
Cost per ₹ of GMV	₹0.009 / ₹0.011*
Pilot metric: ₹200 × 1,000 ÷ 65	₹3,080
Segment pool (addressable)	₹14,100 crore/month

** without / with build cost*

Drivers: weekly vendor UPI 35/50/60%; settlement share 54.8% (23/42); friction 69.6% (16/23); exposure 25/40/55%; repeat 35/50/65%; not already a Paytm payer 56% (9/16); 18.9 payments a month; shift 25/40/60%; ticket ₹2,000/2,500/3,500; baseline overlap 15%.

All values computed by live formulas in the workbook (Funnel_Model, Share_Metric, Unit_Costs). Inputs are assumptions or synthetic proxies; build costs are team assumptions, not Paytm figures.

Dependency and risk registers

Dependency	Still to confirm	Owner	Effort
Early release of collections	Credit speed per bank; daily limits; merchant-agreement update	Settlement, treasury	S
Early release vs credit	Formal compliance view; is any pre-funding ever needed?	Compliance, legal	—
Free settlement for supplier payments	Is conditional free pricing acceptable? Cost at scale	Compliance, pricing	S
One authorisation	Settlement-to-credit time by bank; the waiting experience	Payments eng.	M
Payer flow in Paytm for Business	Build in-app, or keep the hand-off to Paytm UPI	Engineering, banks	S / M–L
Instant settlement for all device merchants	Live for every eligible merchant today? (Phase 0)	Merchant product	S
Staff access (arm B)	Do UPI delegated-payment limits fit vendor payments?	Product, NPCI rules	M

Risk	Mitigation
Segment smaller than the proxy	Size it from settlement data in days 0–14; shrink the target; lead with staff access
Habit wins even without the step	Morning prompt; habit-guard metric; 'revise' gate below 15%
PhonePe responds	Only for its own merchants; move first and lock in the habit

Full registers with sources and build effort: workbook 'Dependencies_Risks'. Owners are proposed functions.

What changed from Round 1 to Round 2, and why

Area	Round 1 (Paytitude_ExecSummary.pdf)	Round 2	Why
Problem framing	'Owns the counter, not the payout'; 0.4% MDR pushes payouts to NEFT and cash	Owns money in, not money out; no MDR argument	Fee isn't why merchants pick an app; MDR argument legally fragile
Segment	Paytm QR / Soundbox merchants, >₹1 lakh a month UPI (≈24 lakh), Andheri	Same base, re-cut: settlement timing, weekly vendor UPI, stated friction	Removing a step only matters where the step exists
Solution	Supplier Pay: settlement-account pay, invoice receipts, due-date credit, Supplier Khata	Settle & Pay: settle received collections to own account, pay by UPI	Settlement plus payment in one flow is Paytm's edge
Credit	30-day partner-lender credit	Dropped	No credit need in the evidence; thin economics
Ledger	Supplier Khata; invoice-matched receipts	Dropped from the MVP	Billing software already owns this
Impact	≈₹27,000 crore a year; +1–2 lakh payers	₹2,660 crore base (₹240–19,400 crore); ≈78,000 MTU	₹27,000 crore rested on simulated data and planned payments
Pilot	500 Andheri merchants vs control; 30% share by month 12	90 days, territory-randomised, 3,000 vs 3,000; ITT +4–6 pts; gates	Prove incrementality before scale
Evidence	'VOC dataset, n=50 Andheri merchants'	Synthetic set disclosed as such; ≥20-user validation added	Keep hypothesis and evidence separate

Round 1 column verified against Paytitude_ExecSummary.pdf (25 Sep 2026). Same track (B) and the same merchant base.

Validation interview guide (≥20 target merchants)

Step	What we do and record
Screener (all true)	Owner or app-chooser; collects on a Paytm QR or Soundbox; pays a vendor by UPI weekly; settlement profile recorded
1 · Last five payments	Open the phone's UPI history together: app, amount, payee, time, paying account (observed, not estimated)
2 · Settlement reality	When did yesterday's collections reach the bank? Ever settled instantly in Paytm for Business (last 30 days)?
3 · Friction moment	Last time a supplier had to be paid before the money was usable: date and workaround
4 · Prototype task	'Pay Sharma Traders ₹6,800 from today's collections': unaided completion Y/N, time, errors (observed)
5 · Choice on real payments	Of the last five payments, which would they make with Settle & Pay? (count of five)
6 · Commitment asks	Name an upcoming supplier payment to move · agree to a 7-day follow-up · enable instant settlement now
7 · Objections	'What would stop you tomorrow?' coded: trust, habit, supplier, staff, account set-up, other
Recording rules	Each answer marked observed or stated; no incentives tied to answers; anonymised; one row per merchant

One row per merchant in workbook 'Validation_Log'. Only observed actions and explicit commitments count as 'did or committed'.